

NextEra Energy, Inc.

NEE NYSE

Buy	\$85.58 ▲ 1.18%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$178.49B
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NEE: Reiterate Buy; YTD Outperformance Amid Utility Sector Rotation Debate

WHAT'S CHANGED

- Zacks flagged NEE as outpacing utility peers YTD, validating relative-strength narrative as stock trades at 58% of 52-wk range (\$85.58 vs \$67.20–\$98.75) despite sector-wide rotation debate.
- Aggressive bullish options positioning: P/C ratio of 0.03 with 35,201 unusual \$65 June calls (12.9x OI, \$72M notional) signals institutional positioning for upside continuation.

IMPLICATIONS

The "Bond Proxy to Battleground" framing in 24/7 Wall St. captures the key tension: utilities face rate-sensitivity headwinds (XLU -1.51% 5D) but NEE's renewables/AI-power exposure differentiates it from pure-play regulated peers. Today's +1.18% move outpacing XLU's +0.56% confirms NEE is being repriced as a power-demand growth story rather than a yield vehicle, supporting multiple expansion. With Healthcare and Financials leading the tape, capital is rotating toward fundamental growth — NEE's energy resource segment positions it to capture this without abandoning defensive characteristics.

VALUATION

At \$85.58, NEE trades at ~23x FY26E EPS and ~14.5x EV/EBITDA — a premium to regulated utility peers (~18x) but justified by ~8% EPS growth algorithm and unmatched renewables development backlog. Our \$98 PT (14.5% upside) applies 24x to FY27E \$4.05 EPS, reflecting AI/data center power demand re-rating. Multiple contraction risk if 10Y yields spike above 5% or if hyperscaler PPA cadence slows materially.

KEY RISKS

- Rising long-end yields compress utility multiples; NEE's growth premium narrows vs. peers
- Federal IRA/ITC policy modifications under current administration could impair renewables economics
- Florida regulatory rate case outcomes or hurricane-related cost recovery delays at FPL

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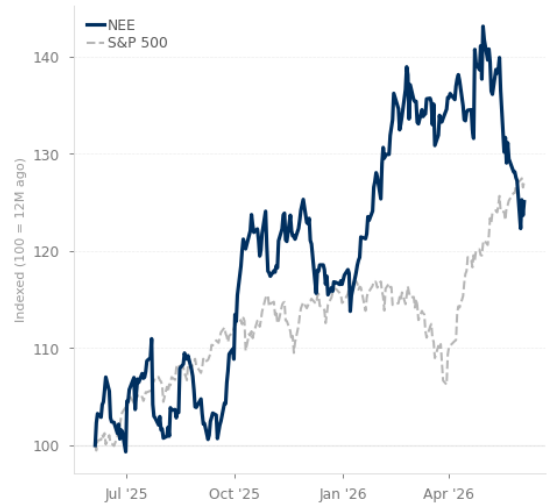
Key Data

Price (USD)	\$85.58
12M Price Target	\$98.00
Upside / (Downside)	+14.5%
Market Cap	\$178.49B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.72
FY2027E EPS	\$4.05
Fwd P/E	23.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$87.00	\$80.00
6 Months	\$100.00	\$92.00	\$78.00
1 Year	\$108.00	\$98.00	\$75.00
2 Years	\$125.00	\$110.00	\$72.00
5 Years	\$165.00	\$140.00	\$85.00
10 Years	\$240.00	\$190.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+3.00%), Financials (+2.63%)

COLD SECTORS: Comm. Services (-3.21% 5D), Utilities (-1.51% 5D)

ROTATION WATCH: Capital rotating from mega-cap tech/comm services into defensives with growth optionality; NEE uniquely bridges defensive yield and AI-power thematic, limiting downside in further rotation.

BYPRODUCT PLAY: Grid infrastructure suppliers (GEV, ETN, PWR) and independent power producers (VST, CEG) benefit from same AI power-demand tailwind driving NEE's energy resources segment.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear-AI hyperscaler PPA narrative driving multiple expansion well above utility group
- VST (Vistra): Texas merchant power + nuclear exposure delivering outsized YTD gains on data center demand

NEE CONTEXT: NEE is outperforming the broader XLU (Zacks confirms YTD lead) but lagging pure-play AI-power names like CEG/VST. Relative performance suggests market views NEE's regulated FPL component as both a stabilizer and a growth-multiple drag — a fair tradeoff supporting our Buy rating with measured upside.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on sector weakness

Time Horizon: 12-24 months

Thesis Invalidation: Adj. EPS growth falls below 6% guide or material renewables backlog cancellations

Hedging: Pair long NEE vs. short XLU basket to isolate alpha